

Back to the 80s

- Pre-1989 North America had trade but most policies were protectionist.
- Why would each country want to liberalize trade?
 - Canada?
 - USA?
 - Mexico?



The Development of NAFTA

Canada got access to a larger market to import/export goods.

The US wanted access to natural resources such as oil, gas, minerals, lumber and Canada's cultural industries.

Mexico was added to the FTA.

Since 1994, Mexico's exports to Canada have increased 200% and Canadian exports to Mexico have increased 25%

1989: Free Trade between Canada and US is introduced



1994: Free Trade agreement expands to include Mexico. Thus resulting in NAFTA